

60	<i>The Regents of the University of California, UCI Irvine Medical Center v. Kaiser Foundation Health Plan, Inc.</i>	RULING ON MOTION #1: The general demurrers of defendant Kaiser Foundation Health Plan, Inc., to the first, second, third, and fifth causes of action in the complaint of plaintiffs The Regents of the University of California, UC Irvine Medical Center, UCI Health Fountain Valley, UCI Health Lakewood, UCI Health Los Alamitos, and UCI Health Placentia Linda are SUSTAINED with 20 days leave to amend. Plaintiffs The Regents of the University of California, UC Irvine Medical Center, UCI Health Fountain Valley, UCI Health Lakewood, UCI Health Los Alamitos, and UCI Health Placentia Linda have brought this action against defendant Kaiser Foundation Health Plan, Inc., for its alleged failure to fully reimburse them for medically necessary and physician ordered services provided to patients who were members of defendant's health plan. (See complaint, ROA 2, ¶ 26.) Their complaint contains causes of action for: (1) breach of implied-in-law contract; (2) breach of implied-in-fact contract; (3) unfair business practices; (4) quantum meruit; and (5) unjust enrichment. Defendant demurs generally to all but the fourth cause of action for quantum meruit. Plaintiffs oppose the demurrers to the second and third causes of action only. Therefore, the Court sustains the demurrers to the first and fifth causes of action with 20 days leave to amend. <u>Second cause of action for breach of implied-in-fact contract.</u> The elements of a cause of action for breach of oral contract are: (1) existence of the contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) damages to plaintiff as a result of the breach. Aton
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Center, Inc. v. United Healthcare Ins. Co. (2023) 93 Cal.App.5th 1214, 1230. A cause of action for breach of implied contract has the same elements as does a cause of action for breach of contract, except that the promise is not expressed in words but is implied from the promisor's conduct. Ibid. Both an express and an implied contract are identical in that they require a meeting of the minds or an agreement; they differ in the mode of proof by which they are established. Ibid.

The essential elements of a contract are: parties capable of contracting; their consent; a lawful object; and a sufficient cause or consideration. Aton Center, Inc. v. United Healthcare Ins. Co., supra, 93 Cal.App.5th at p. 1230. The vital elements of a cause of action based on contract are mutual assent (usually accomplished through the medium of an offer and acceptance) and consideration. Ibid.

Contract formation requires mutual consent, which cannot exist unless the parties agree upon the same thing in the same sense. Aton Center, Inc. v. United Healthcare Ins. Co., supra, 93 Cal.App.5th at p. 1230. Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings. Ibid. The question is what the parties' objective manifestations of agreement or objective expressions of intent would lead a reasonable person to believe. Ibid.

Although plaintiffs allege that mutual assent for defendant to “fully pay for the services provided to [defendant’s plan members]” was shown by “[t]he verifications, authorizations, and communications provided by [defendant] to [plaintiffs]” (complaint, ¶ 53), defendant contends that such mutual assent